

GDP and happiness



In Bhutan, economic progress is measured in terms of national happiness rather than national income.

Gross Domestic Product is the most popular measure of a nation's economic fortunes (see [GDP and its components](#)). But increasingly, experts are asking whether it is the best indicator of well-being. For one thing, the fruits of an economy are not always evenly distributed among the population, but a more fundamental question is how closely material wealth relates to well-being.

American economist Richard Easterlin looked at surveys of people's reported well-being and found that although there were correlations between income and happiness, the picture was complex. The richest countries weren't necessarily the happiest, and in some countries rising income did not equate to rising

happiness. One explanation is the 'hedonic treadmill': people psychologically adapting to higher standards of living until they feel normal. Income is still an important determinant of well-being, but this new approach has prompted the invention of broader measures of well-being encompassing life expectancy, health and education as well as income.